

Table 7.2 Discounted Cash Flow (DCF) Analysis of the 10 Percent Yielding Low-Risk Alternative

Year	Free Cash Flow (\$)	Present Value (\$) of Future Cash Flow
2007	50,000	45,454
2008	50,000	41,322
2009	50,000	37,566
2010	50,000	34,151
2011	50,000	31,046
2012	50,000	28,224
2013	50,000	25,658
2014	50,000	23,325
2015	50,000	21,205
2016	50,000	17,277
2017	Capital returned 500,000	192,772
Total		500,000

When we see a huge gap between the price and intrinsic value of a given business—and that gap is in our favor—we can act and buy that business. Let's take the example of a well-known retail business, Bed Bath and Beyond (BBBY). I have to admit that I have never analyzed BBBY before.